



2021

Financial Year Results Presentation



Country and Macro Economic Overview

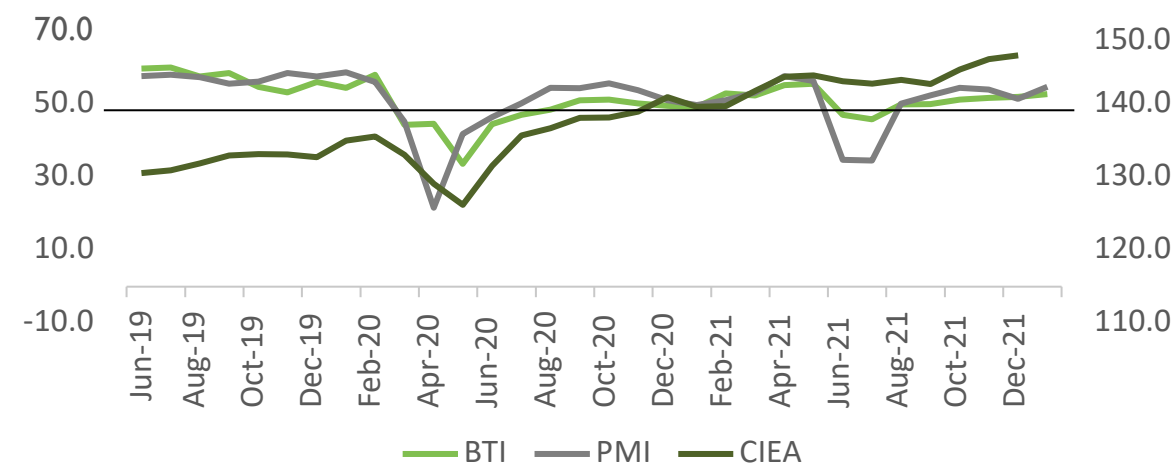




Macro Indicators

	2021	2022e
GDP Growth	3.4%	6.0%
Inflation	2.16%	5.01%
Debt position	49.1%	50.2%
Outlook	+ve	+ve

Economic Recovery



Source : Stanbic Bank (PMI), BoU (BTI, CIEA)



Covid 19 Vaccination

	No.	% of population
At least 1 dose	12.7m	27.9%
Fully Vaccinated	2.2m	4.9%
Total Doses given	14.9m	

Oil and Gas



Signing and announcement of the **Final Investment Decision**

02

Sector and
Regulatory
Updates



Sector Updates

Amendment of the Electricity Act



The amendment covers several areas;

- Penalties for power theft and vandalism
- Strengthen the regulatory framework
- Structure of the industry to allow generator to customer

Karuma HPP 600MW



- First unit to be online in April and full commissioning by Q3

Regulatory Recoveries



- Recovered USD 12 million in H2 2021 as envisaged



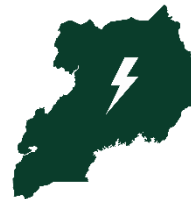
Electricity Connection Policy

- Collected USD 9M of the USD 25M, arrears outstanding USD 16.6M
- Government working on a USD 500M+ for the program



Changes in Tariff structure

- Implemented in Q1 2022 however they are revenue neutral to Umeme

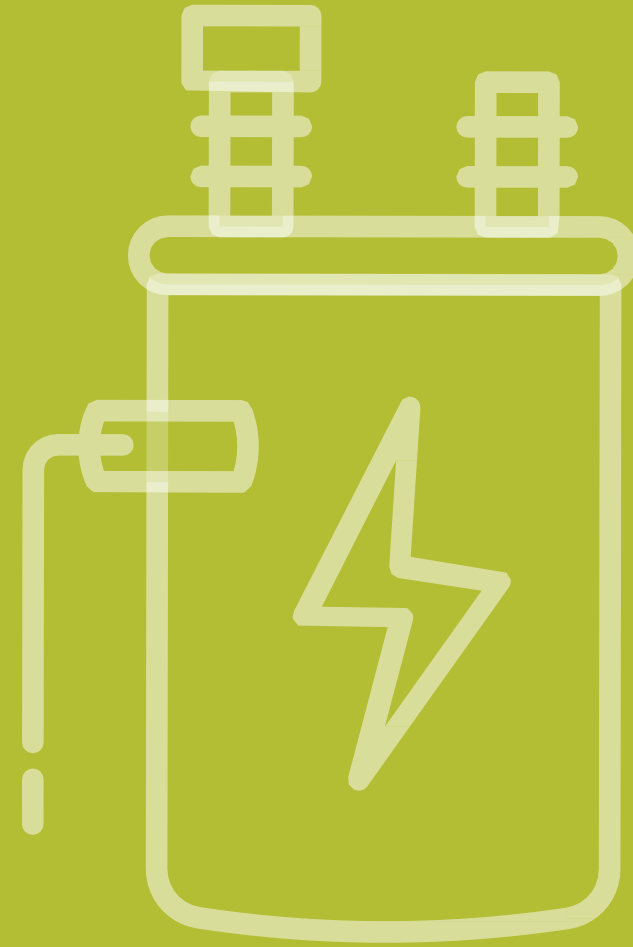


Merging of Government Agencies

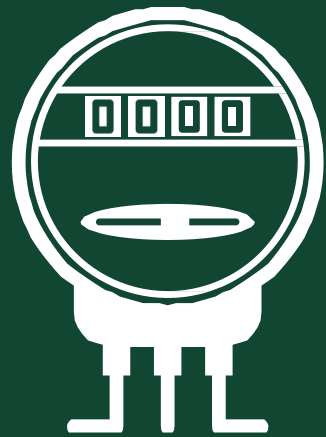
- The plan has been on since 2016

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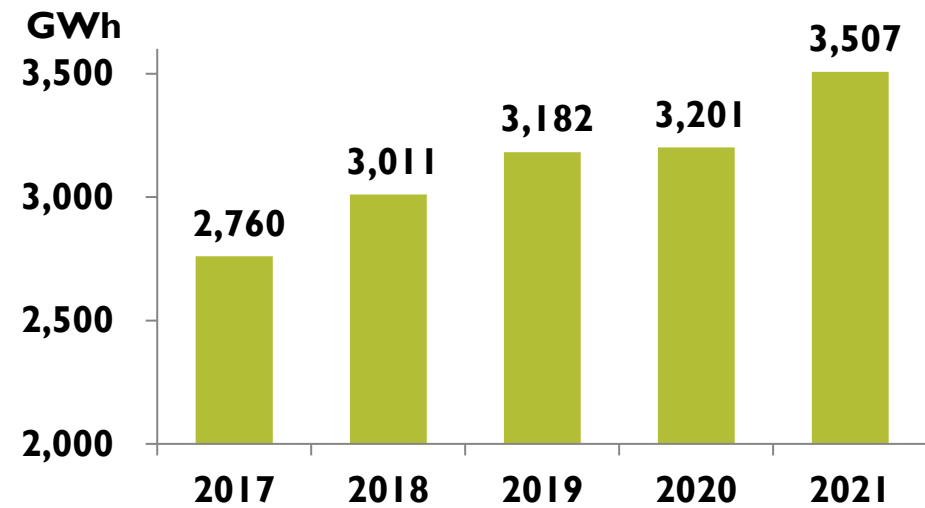
Operational Highlights



Electricity Sales

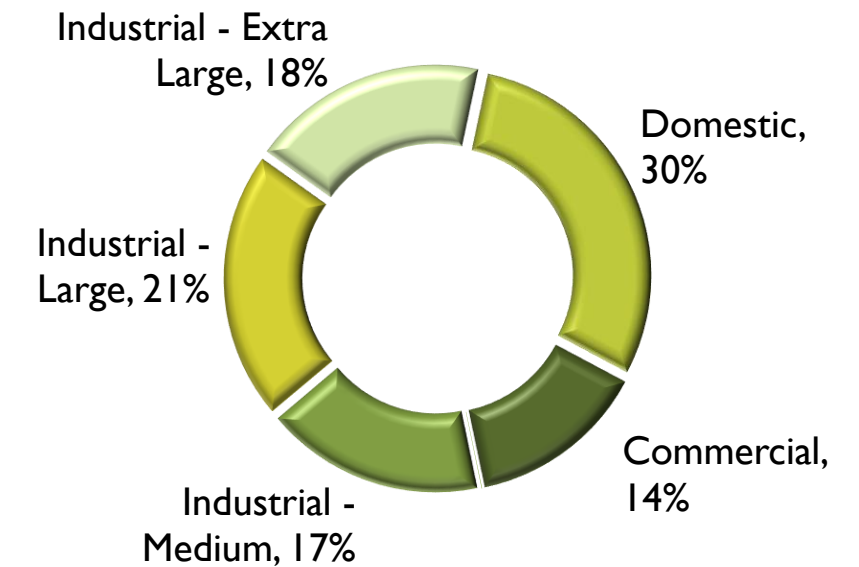


Annual Sales



Customer Category	Sales Growth	Revenue Growth
Domestic	7%	6%
Commercial	12%	8%
Street Lighting	10%	12%
Industrial - Medium	5%	0%
Industrial - Large	12%	10%
Industrial - Extra Large	11%	9%
Total	10%	7%

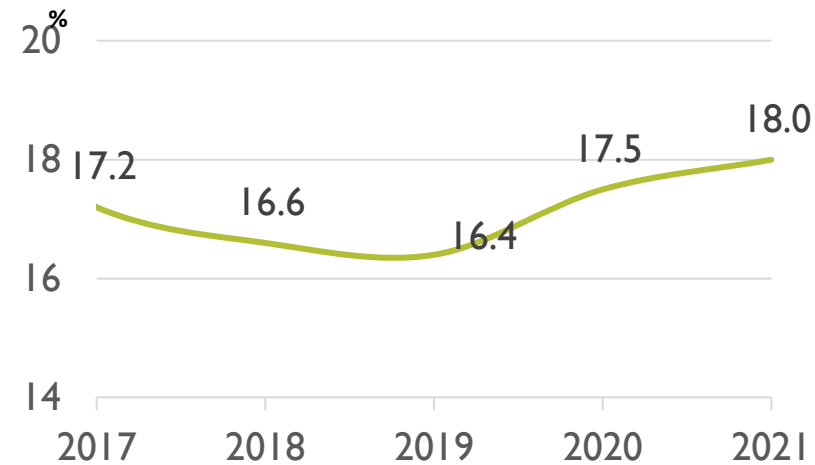
Sales Breakdown by Tariff 2021



Losses & Collections

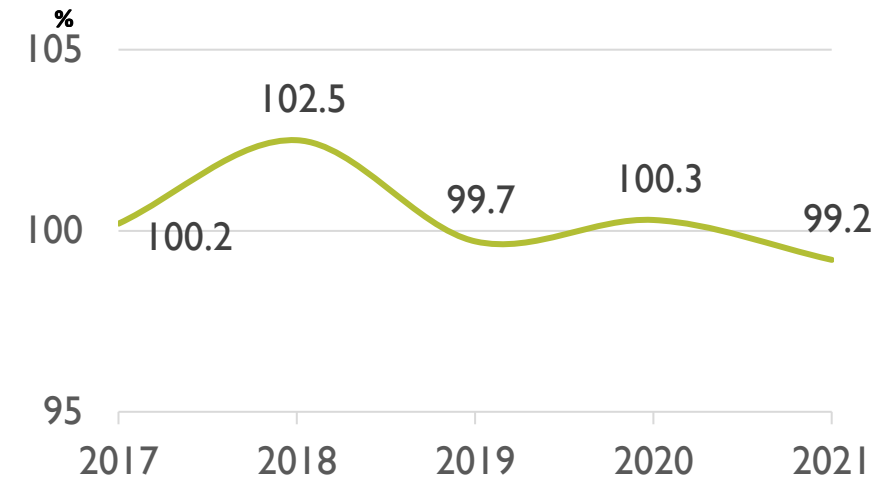


Energy losses



- Losses stagnated at mid-year levels of 18%
- The Covid-19 restrictions impacted the company's ability to execute loss reduction plans.
- A revised strategy has been rolled out to reduce technical and commercial losses to sustainable levels.

Cash collections

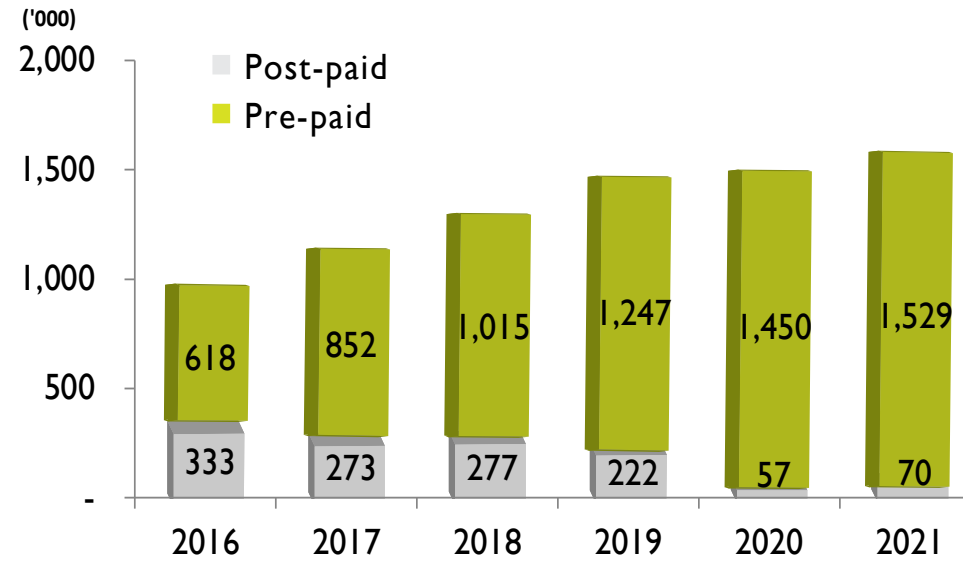


- Collections closed at 99.2% in 2021.
- Recovery is in sync with recovery in business environment and greater adoption of pre-payment metering.

Customer Connections

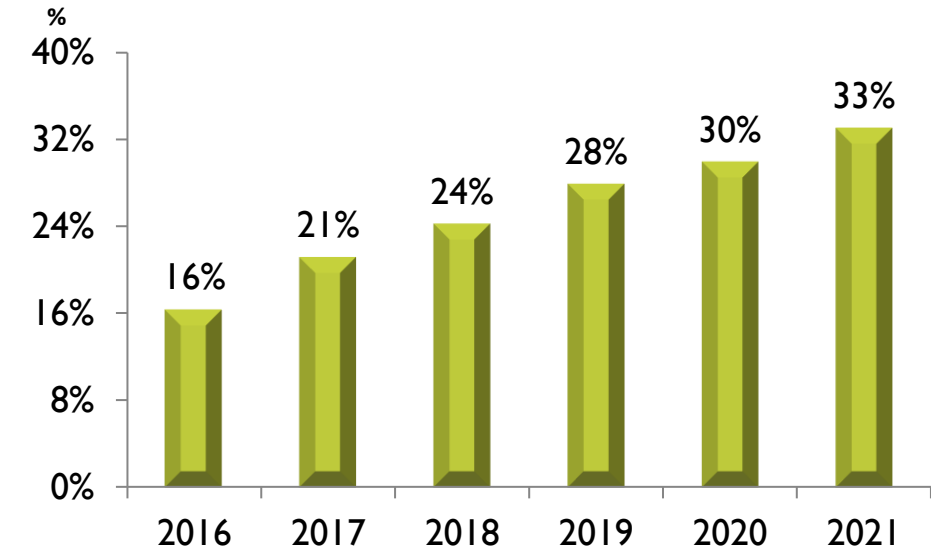


Customer Numbers



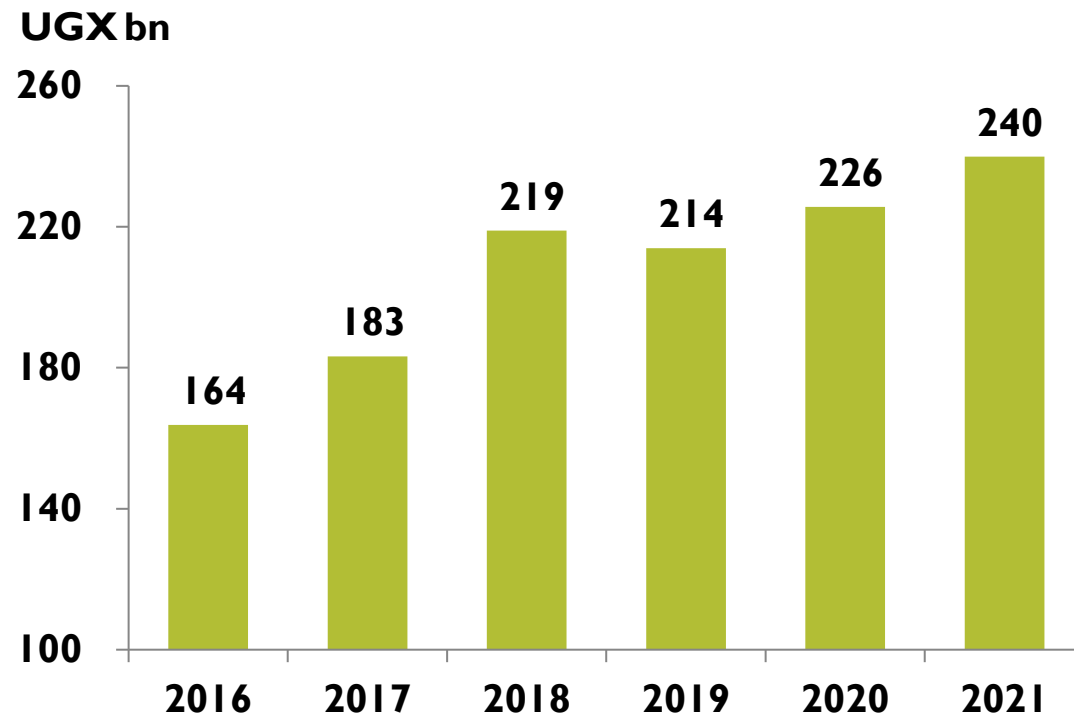
- 129,511 customers were added to the grid compared to 57,000 in 2020.
- The increased connections were delivered through customer self-funding and the Government free connections program.

Prepaid % of Total Revenue



- Conversions to prepaid
- 33% of revenues are from prepaid customers.

Operating Expenses (UGX bn)

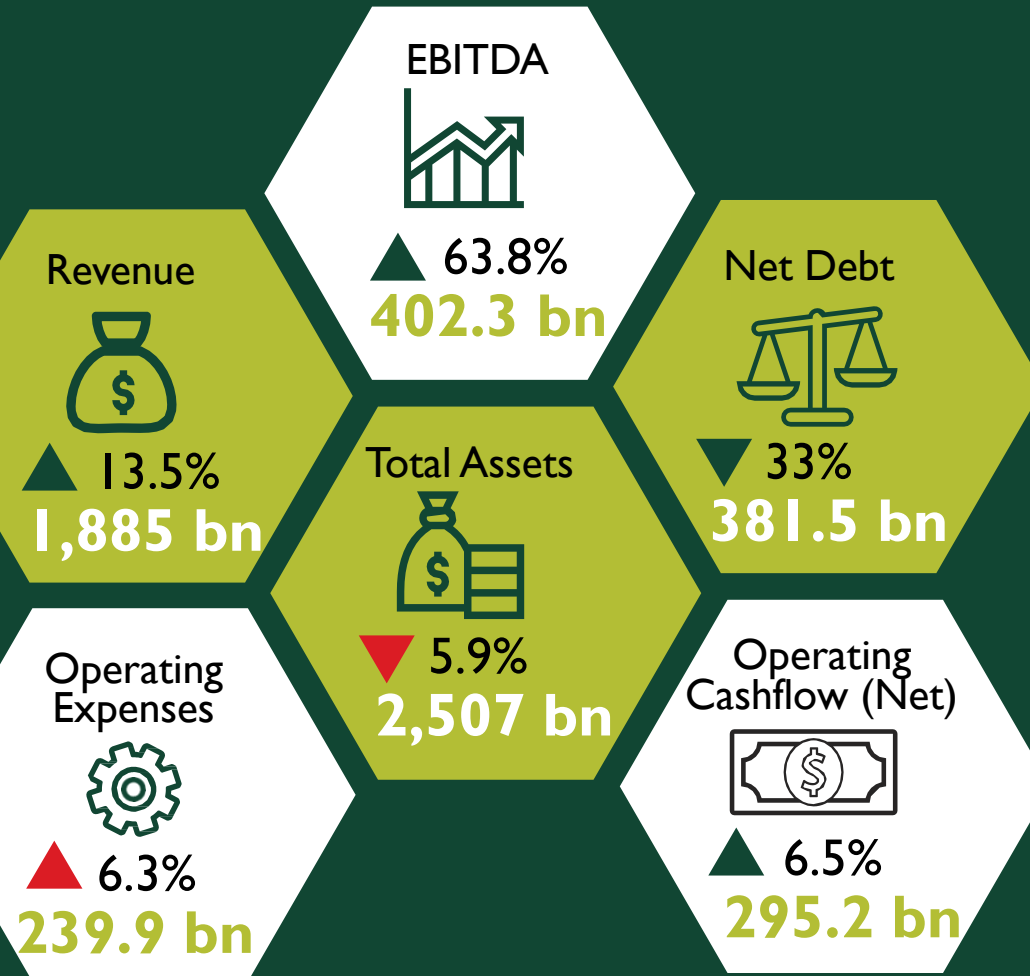


- Operating costs mainly driven by increase in network repairs and maintenance costs and administration expenses.
- Key movers were Distribution network R&M, Software support and transport costs.

Financial Highlights 4



Financial Summary (UGX)



Financials Summary (UGX Bn)

Income Statement	FY 2021	FY 2020	%ch
Revenue	1,885.0	1,660.8	13.5%
Cost of Sales	(1,242.8)	(1,181.9)	5.2%
Gross Profit	642.2	479.0	34.1%
Gross Profit Margin	34.1%	28.8%	18.4%
Operating Expenses	(239.9)	(225.7)	6.3%
EBITDA	402.3	245.7	63.8%
Finance Costs (ex. lease)	(36.4)	(45.4)	-19.8%
PBT	194.0	63.0	208.1%
Tax Rate	28%	32%	-10.8%
Profit After Tax	139.1	43.1	223.0%

Financial Position at	FY 2021	FY 2020	%ch
Total Assets	2507.3	2665.0	-5.9%
Shareholders Equity	893.2	803.2	11.2%
Net Debt	381.5	569.6	-33.0%

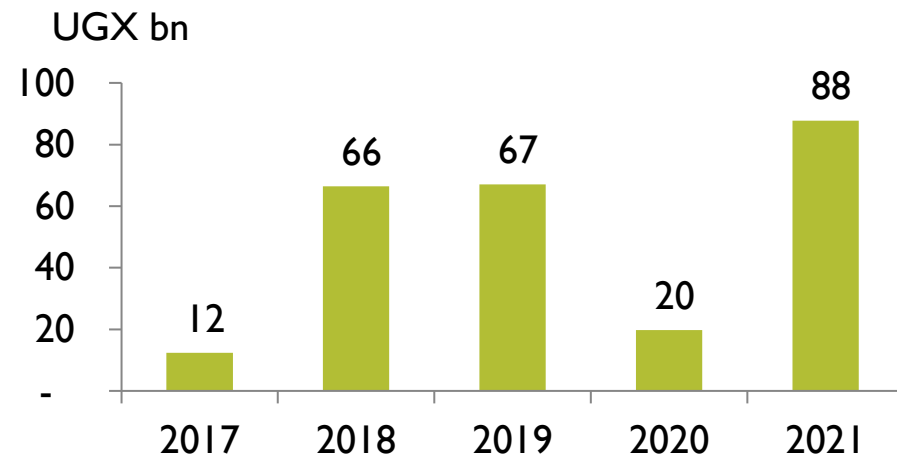
Operating cashflow	295	277	6.5%
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- Gross profit increased to UGX 642 bn from UGX 479 bn in 2020 on account of improved distribution margin and operational efficiencies.
- Gross profit margin increased by 18.4% to 34.1% in 2021.
- Profit after tax increased from UGX 43.1 bn to UGX 139.1 bn in 2021
- Net debt reduced from UGX 569.6 bn to UGX 381.5 billion in 2021

Dividend for the year

- Dividend Per Share recommended – Ushs 54.1
- Pay-Out Ratio 60% adjusted for FX effects. Without the effects on direct PAT, Pay-Out Ratio is 63%.

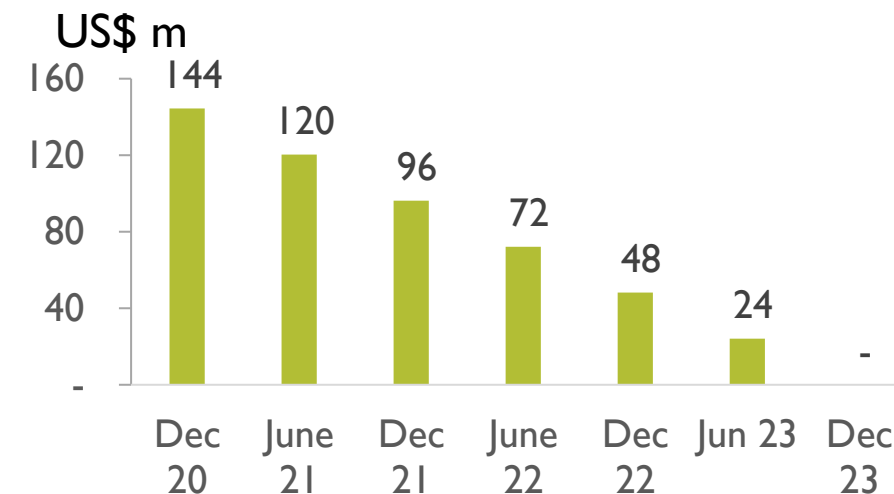
Annual dividend (UGX bn)



Reducing Leverage

- Outstanding term debt as at December 2021 - \$96m.
- Scheduled repayments through to December 2023 where term debt will be fully repaid

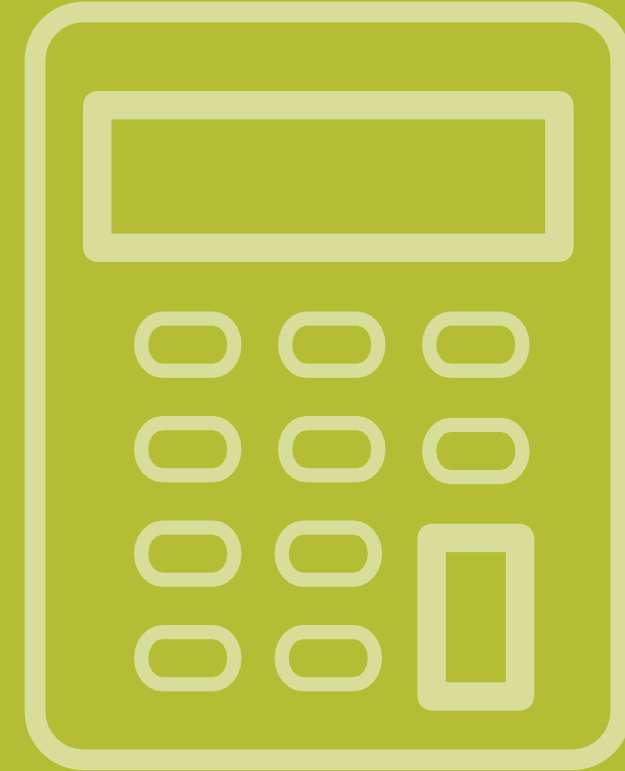
Principal Outstanding (\$m)



- Capex program for 2022 to 2024 estimated at max \$40m

Buy Out
Amount

05

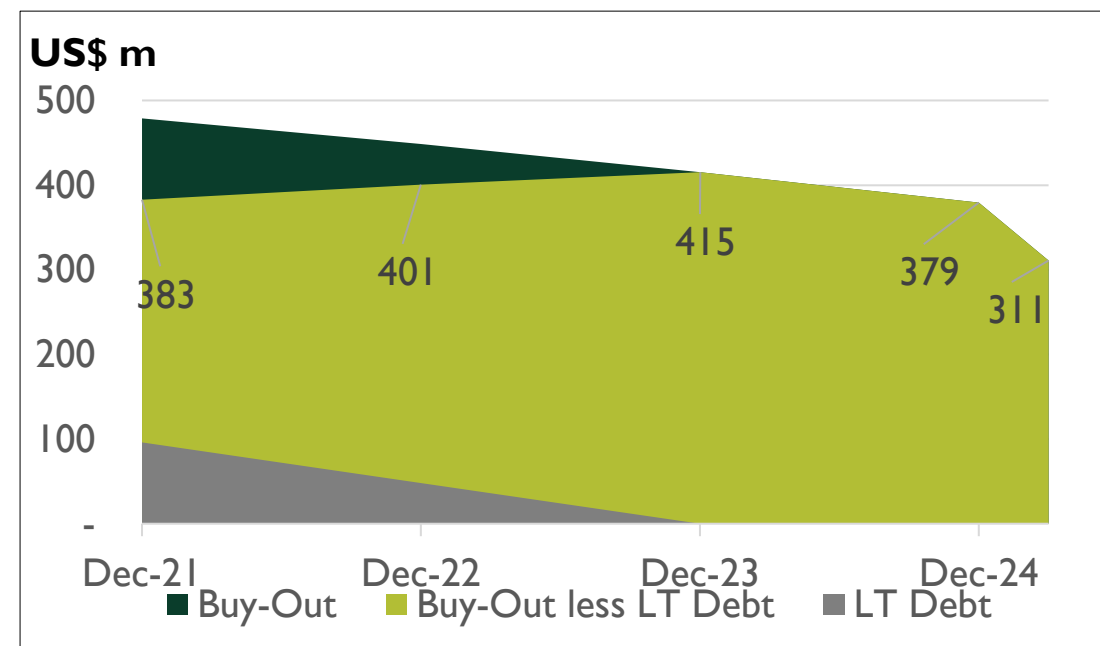


Buy Out Amount

Upon natural termination of the Agreement, the Buy Out Amount shall equal 105% of the cost of the Modifications that is undepreciated and unrecovered by the Company through the tariff under the Licences as of the date of the retransfer (NI, as defined in the Tariff Methodology adjusted to the date of retransfer) of the Distribution System.

Modifications

Any restoration, reinforcement, replacement, upgrade, or expansion of the Distribution System by the Company and all other capital investments made by the Company in performing its obligations under this Agreement and the Licences, including any Required Modification, except maintenance and repair of the Distribution System.



Buyout Timeline

Early Termination

Within 270 days from receipt or issuance of termination notice OR 90 days following resolution of any dispute related thereto

BO Estimate

Umeme delivers estimate of Buy-Out Amount not later than 90 days prior to end of Concession term

GOU Payment

Government of Uganda to pay the Buy Out Amount within 30 days"

Concession Start

Asset Re-transfer

Interest

GoU to pay interest on outstanding BO Amount;
10% (first 45 days)
15% (46 – 90 days)
20% (91+ days).

Natural Termination

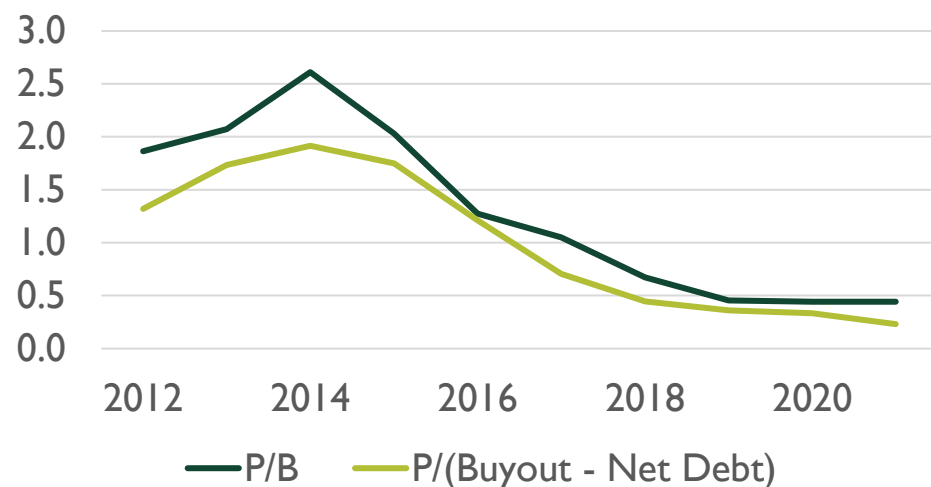
31st March 2025

Interest

GoU to pay interest on outstanding BO Amount;
10% (31 – 45 days)
15% (46 – 90 days)
20% (91+ days)

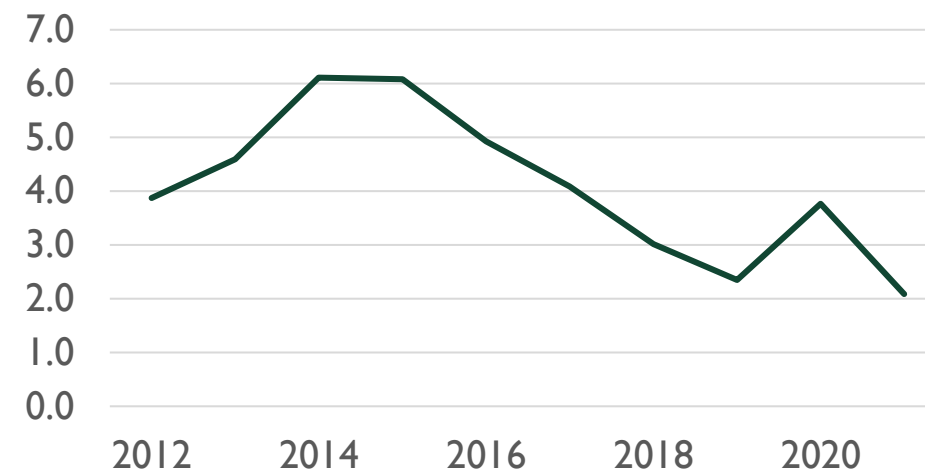
Valuation Metrics

P/B Ratio vs P/(Buyout less Net Debt)



- Umeme is trading at attractive levels with key metrics at all-time lows
- Buyout Amount less outstanding debt is valued at 3 times the market capitalization.

EV/EBITDA

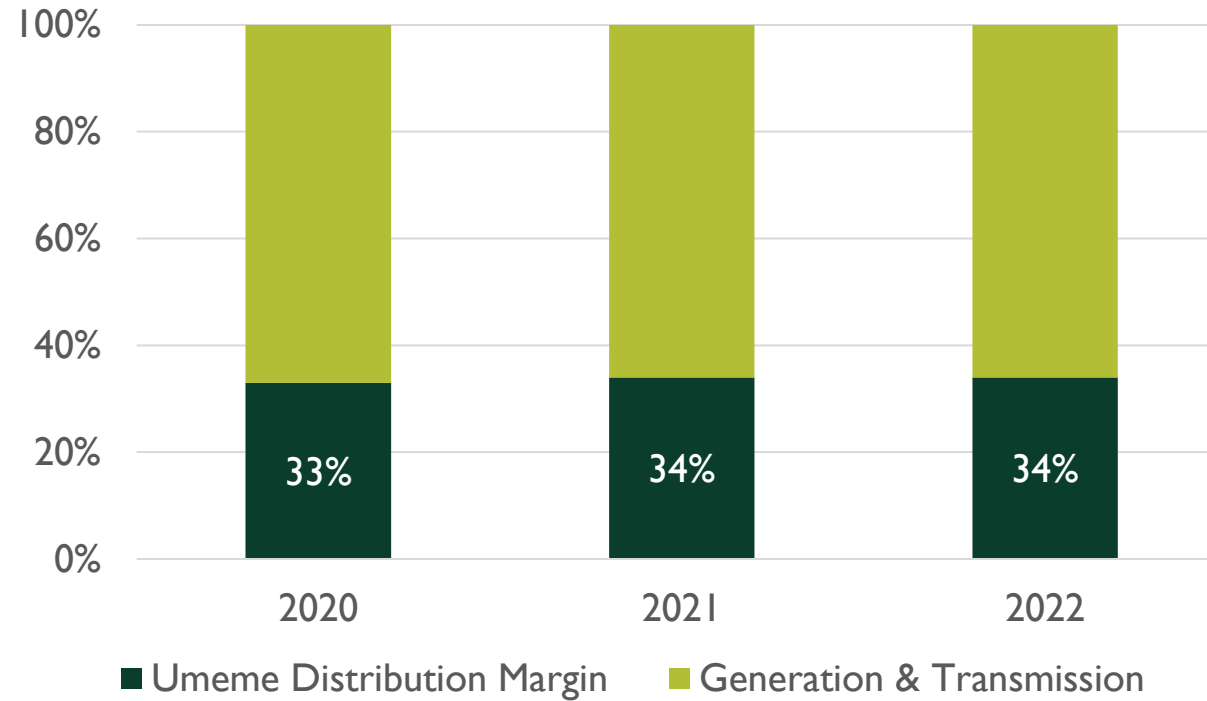


- The EV/EBITDA is trading at 63% discount to historical average.

06 Strategic Goals, Objectives & Priorities



Tariff Margins



- The company achieved a 34% gross margin in the 2022 base tariff, in line with 2021.

Strategic Goals & Objectives



Safety

Staff and customers safety amidst evolving pandemic environment.



Service & Profitability

Supply reliability, loss reduction, cost containment while sustaining cash collection levels. Resolve outstanding regulatory matters.



Concession Resolution

Concession clarity with Government of Uganda.



Reduce Leverage

Long-term debt projected to be fully repaid at 31st Dec 2023.



Optimal Investment Program

Sustainable capex focused on growth and reliability. Guidance approx. \$40m



Dividend Distributions

Maintain regular dividend payments in line with policy. Average payout since IPO: 47%.

Sector Priorities

Access

Increase access to electricity to 80% by 2040

Reliability

Reliable Power and Quality of Service. Reduced frequency and duration of outtages.

Electricity Uptake

Industrialization-driven demand to ensure uptake of new generation Capacity

Affordability

Competitive tariffs for industry and domestic consumers.

Investor Relations Calendar



19th May 2022 – Annual General Meeting for the year ended December 2021

24th June 2022 – FY 2021 Final Dividend Book Closure Date
22nd July 2022 – Dividend Payment Date